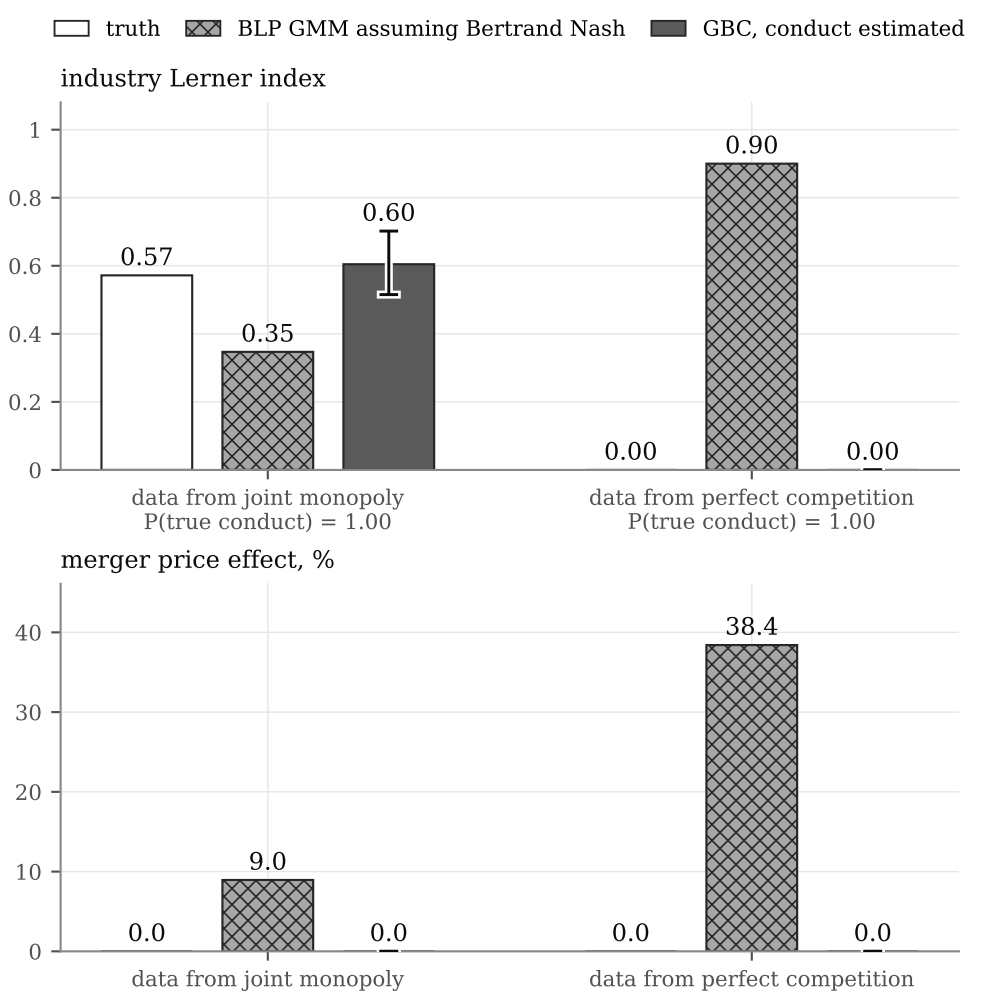
truth
BLP GMM assuming Bertrand Nash
GBC, conduct estimated
industry Lerner index
1
0.8
0.6
0.4
0.2
0
0.57
0.35
0.60
0.00
0.90
0.00
data from joint monopoly
P(true conduct) = 1.00
data from perfect competition
P(true conduct) = 1.00
merger price effect, %
40
30
20
10
0
0.0
9.0
0.0
0.0
38.4
0.0
data from joint monopoly
data from perfect competition